PANJAB UNIVERSITY, CHANDIGARH

OUTLINES OF TESTS, SYLLABI AND COURSES OF READING IN THE SUBJECT OF ECONOMICS (SUBSIDIARY) FOR FIRST YEAR AND SECOND YEAR FOR THE EXAMINATIONS OF 2011-2012.

B. Sc. (HONOURS SCHOOL) MATHEMATICS (ECONOMICS SUBSIDIARY)

FIRST YEAR – MICROECONOMICS

SEMESTER – I

Max. Marks: 80 **Time: 3 Hrs.**
Internal Assessment: 20

Instructions for Paper-setter and candidates:

The syllabus has been divided into four units.

There shall be 9 questions in all.

The first question, **which would be compulsory**, shall be short answer type (word limit 125 each). It would carry 16 short questions, spread over the whole syllabus. The candidate will be required to attempt any 8 short answer type questions. Each short answer type question would carry **two** marks (2x8 = 16).

Rest of the paper shall contain 4 units. Each unit shall have **two** questions and the candidates shall be required to *attempt one question* from each Unit – 4 in all. Each question shall carry 16 marks (16x4 = 64)

UNIT – I

Definitions of Economics: Marshall and Robbins. Distinction between micro and macroeconomics, positive and normative economics, deductive and inductive method of economic analysis, partial and general equilibrium.

UNIT - II

Demand analysis. Consumer equilibrium and analysis of consumer demand for a product: Marshallian utility and indifference curve analysis. Market demand and demand elasticities.

UNIT – III

Production analysis: Law of Variable Proportions, concept of a homogeneous production Function (Cobb-Douglas only) and its properties, laws of returns to scale. Deriving cost function from production function, short run and long run cost curves, economies and diseconomies of scale.

UNIT – IV

Concept of supply curves and supply elasticities, Interaction between demand and supply, comparative statics of price determination, Cobweb theorem.

SELECTED READINGS

R G Lipsey (1975) : Introduction to Positive Economics.

P W Bell and M A Todaro (1969) : Economic Theory: An Integrated Text.

J M Joshi and Rajendra Joshi (1994) : Microeconomic Theory – An Analytical Approach, Wishwa Prakashan.

R A Bilas (1967) : Microeconomic Theory – A Graphic Analysis.

SEMESTER – II

FIRST YEAR – MICROECONOMICS

Max. Marks: 80 **Time: 3 Hrs.**
Internal Assessment: 20

Instructions for Paper-setter and candidates:

The syllabus has been divided into four units.

There shall be 9 questions in all.

The first question, **which would be compulsory**, shall be short answer type (word limit 125 each). It would carry 16 short questions, spread over the whole syllabus. The candidate will be required to attempt any 8 short answer type questions. Each short answer type question would carry **two** marks (2x8 = 16).

Rest of the paper shall contain 4 units. Each unit shall have **two** questions and the candidates shall be required to *attempt one question* from each Unit – 4 in all. Each question shall carry 16 marks (16x4 = 64)

UNIT – I

Definition of a market, basic elements of a market structure, equilibrium of a competitive firm in the short run and long run. Monopoly, definition and pricing in the short run and long run.

UNIT – II

Introduction to discriminating Monopoly, Product differentiation, Advertisement and selling costs, short run equilibrium of a firm under monopolistic competition.

UNIT – III

Marginal productivity theory of distribution with special reference to wage determination. Homogeneous production function and Euler's theorem. Ricardian and modern theory of rent, concept of quasi rent.

UNIT – IV

Classical savings, investment and liquidity preference theory of interest. Schumpeter's theory of profits, Knight's theory of Risk, uncertainty and profits.

SELECTED READINGS

R G Lipsey (1975)	:	Introduction to Positive Economics.
P W Bell and M A Todaro (1969)	:	Economic Theory: An Integrated Text.
J M Joshi and Rajendra Joshi (1994)	:	Microeconomic Theory – An Analytical Approach, Wishwa Prakashan.
R A Bilas (1967)	:	Microeconomic Theory – A Graphic Analysis.

SECOND YEAR – MACROECONOMICS

SEMESTER – III

Max. Marks: 80 **Time: 3 Hrs.**
Internal Assessment: 20

Instructions for Paper-setter and candidates:

The syllabus has been divided into four units.

There shall be 9 questions in all.

The first question, **which would be compulsory**, shall be short answer type (word limit 125 each). It would carry 16 short questions, spread over the whole syllabus. The candidate will be required to attempt any 8 short answer type questions. Each short answer type question would carry **two** marks (2x8 = 16).

Rest of the paper shall contain 4 units. Each unit shall have **two** questions and the candidates shall be required to *attempt one question* from each Unit – 4 in all. Each question shall carry 16 marks (16x4 = 64).

UNIT – I

Introduction to National Income Accounting, Alternative methods of estimating National Income and other Aggregates; estimation through numerical examples; problems encountered in national income estimation. From Macro economic accounting to Macro economic theory.

UNIT – II

Basic concepts of Macroeconomics: employment, price level, investment, savings. Balance of payments; Concepts of stocks and flows. Income, output and employment determination in the classical model; Say's law.

UNIT – III

Concept of effective demand: consumption spending, consumption function, APC, MPC, Determination of output and Income in the Simple Keynesian Model.

UNIT – IV

Underemployment equilibrium and Keynesian solution. Concept and operation of multiplier.

SELECTED READINGS

Rowan, D C (1974)	:	Output, Inflation and Growth, 2nd Edition
Shapiro, Edward (1998)	:	Macro Economics, 5th Edition, Galotia Publications
Samuelson and Nordhas (1998)	:	Economics, 16th Edition, McGraw-Hill
Dornbusch and Fisher (1997)	:	Macroeconomics, McGraw-Hill.

SEMESTER – IV

SECOND YEAR – MACROECONOMICS

Max. Marks: 80 **Time: 3 Hrs.**
Internal Assessment: 20

Instructions for Paper-setter and candidates:

The syllabus has been divided into four units.

There shall be 9 questions in all.

The first question, **which would be compulsory**, shall be short answer type (word limit 125 each). It would carry 16 short questions, spread over the whole syllabus. The candidate will be required to attempt any 8 short answer type questions. Each short answer type question would carry **two** marks (2x8 = 16).

Rest of the paper shall contain 4 units. Each unit shall have **two** questions and the candidates shall be required to *attempt one question* from each Unit – 4 in all. Each question shall carry 16 marks (16x4 = 64).

UNIT-I

Investment: Autonomous and Induced; determinants of investment spending, extension of the simple Keynesian model, IS-LM.

UNIT – II

Stablization policies: Monetary and Fiscal policies in a closed economy, Multiplier – Accelerator Interaction: Trade cycle theories with reference to Hicksian trade cycle model.

UNIT – III

Definition, functions and demand for money; commercial banks, credit creation and supply of Money.

UNIT – IV

Inflation: measure, theories (cost-push and demand-pull) and control of inflation. Role of Central Bank.

SELECTED READINGS

Rowan, D C (1974)	:	Output, Inflation and Growth, 2nd Edition
Shapiro, Edward (1998)	:	Macro Economics, 5th Edition, Galotia Publications
Samuelson and Nordhas (1998)	:	Economics, 16th Edition, McGraw-Hill
Dornbusch and Fisher (1997)	:	Macroeconomics, McGraw-Hill.

****